ED-UNIT 3 (Accountancy)

Balance Sheet

A **Balance Sheet** is a financial statement that provides a snapshot of a business's financial position at a specific point in time. It summarizes what the company owns, what it owes, and the amount invested by the owners.

The Fundamental Accounting Equation

The balance sheet is based on a simple formula that must always stay in balance:

$$\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$$

Core Components

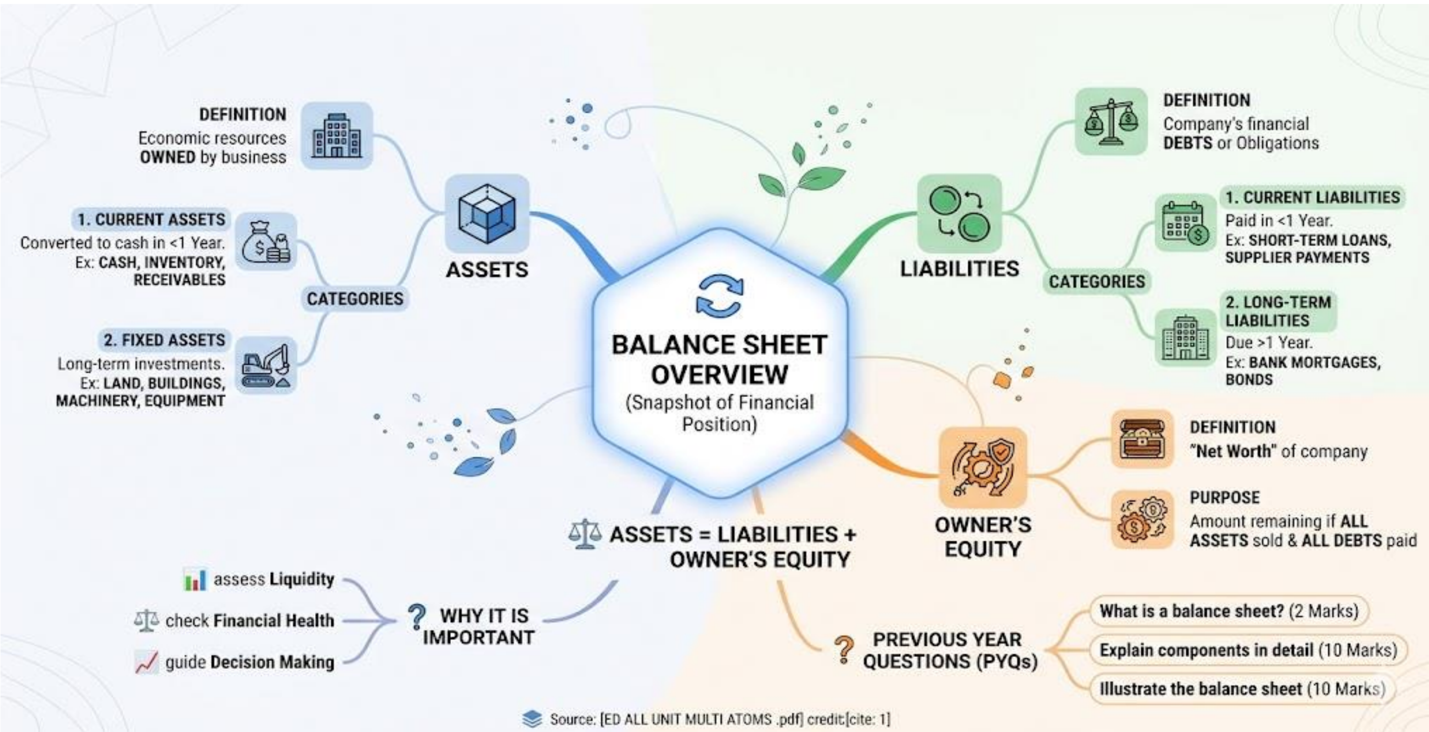
- **Assets**: These are resources owned by the business that have economic value.
  - **Current Assets**: Items that can be converted into cash within one year, such as cash, inventory, and accounts receivable.
  - **Fixed Assets**: Long-term investments like land, buildings, machinery, and equipment.
- **Liabilities**: These are the company's financial debts or obligations.
  - **Current Liabilities**: Debts that must be paid within a year, such as short-term loans and payments to suppliers.
  - **Long-term Liabilities**: Debts due after one year, such as bank mortgages or long-term bonds.
- **Owner's Equity**: This represents the "net worth" of the company. It is the amount of money that would remain if all assets were sold and all debts were paid off.

Why It Is Important

- **Liquidity Assessment**: It shows if the business has enough cash and assets to pay its upcoming bills.
- **Financial Health**: Investors and banks use the balance sheet to see how much debt the company has compared to its ownership (Equity).
- **Decision Making**: It helps entrepreneurs decide whether they can afford to buy new machinery or if they need to bring in more investment.

Previous Year Questions (PYQs)

- What is a balance sheet?
- Illustrate the balance sheet.
- Explain the components of a balance sheet in detail.



Economic Viability

Economic Viability is a comprehensive evaluation used to determine if a project provides sufficient value to the economy and society to justify its costs. It goes beyond simple profit (Financial Viability) to assess the broader impact on the surrounding community and resources.

1. Core Objectives

The primary goal of economic viability is to ensure that a project is a productive use of resources:

- **Net Social Gain**: Evaluating if the project increases the overall wealth and well-being of the community.
- **Resource Efficiency**: Determining if raw materials, labor, and capital are being used in the most effective way possible.

- **Sustainability**: Assessing if the project can maintain itself over the long term without depleting essential resources.

2. Key Metrics for Assessment

To measure economic viability, entrepreneurs and government agencies use several specialized financial tools:

- **Benefit-Cost Ratio (BCR)**: A project is economically viable if the total benefits to society divided by the total costs result in a value greater than 1.
- **Net Present Value (NPV)**: Calculating the current value of all future economic benefits minus the costs.
- **Internal Rate of Return (IRR)**: Finding the percentage of return the project provides to the economy.
- **Socio-Economic Impact**: Measuring secondary benefits such as job creation, infrastructure development, and improvements in local living standards.

3. Difference Between Economic and Financial Viability

It is important to distinguish these two often-confused concepts:

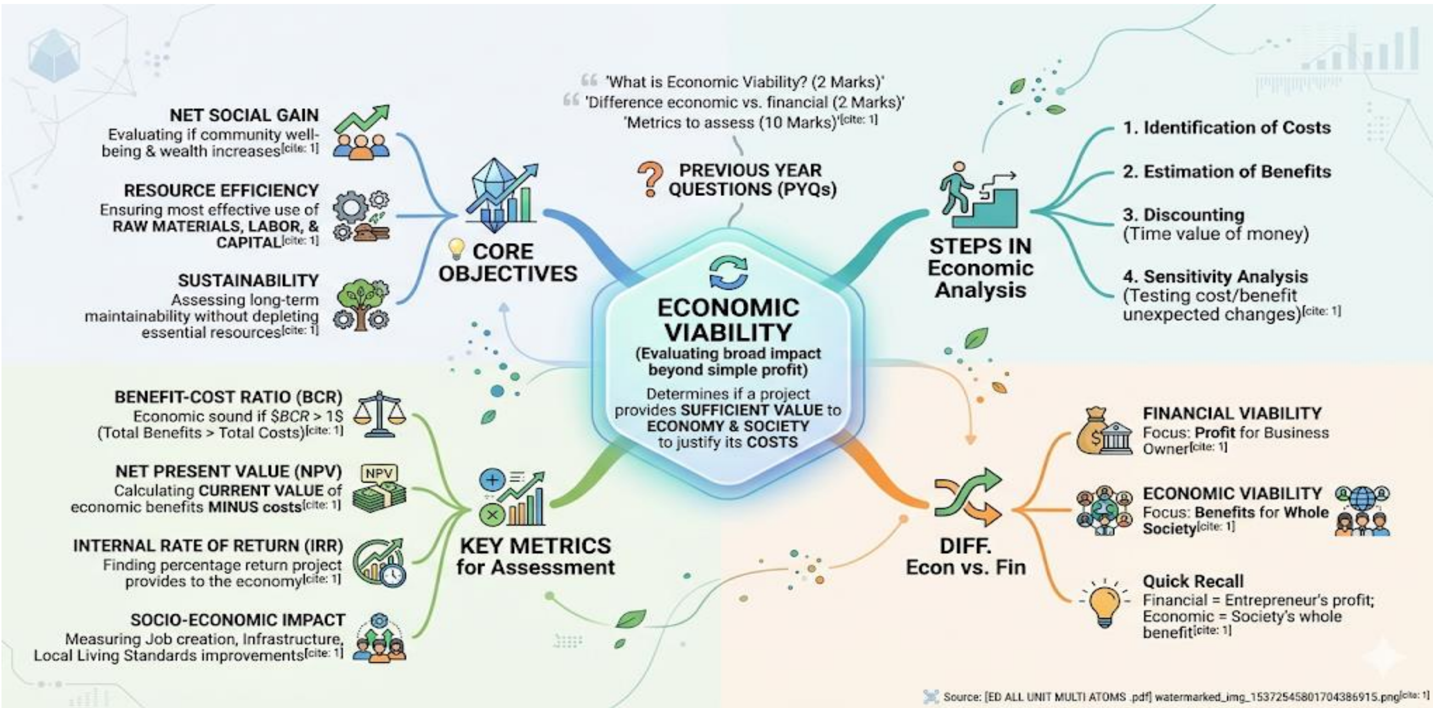
Feature	Financial Viability	Economic Viability
Focus	Profit for the business owner.	Benefits for the whole society.
Costs	Market prices of materials and labor.	"Shadow prices" and environmental costs.
Incomes	Actual sales revenue.	Direct and indirect benefits to the public.

4. Steps in Economic Analysis

1. **Identification of Costs**: Listing all direct costs (machinery, land) and indirect costs (pollution, resource depletion).
2. **Estimation of Benefits**: Quantifying direct income and social benefits like increased employment or cheaper goods for consumers.
3. **Discounting**: Converting all future costs and benefits into "today's money" to account for the time value of money.
4. **Sensitivity Analysis**: Testing how the project's viability changes if costs rise or benefits decrease unexpectedly.

Previous Year Questions (PYQs)

- What do you mean by economic viability of a project?
- Explain the difference between economic and financial viability.
- Describe the metrics used to assess economic viability in project identification.



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1. Decision Making in Projects

Decision making is the process of choosing the best course of action among several alternatives based on logical analysis and available data.

- **Objective-Driven**: Decisions are made to align with the core goals of the entrepreneur, such as profit maximization or social impact.
- **Alternative Evaluation**: It involves comparing different project ideas (e.g., Project A vs. Project B) using metrics like NPV or IRR.
- **Risk Assessment**: Choosing an option requires balancing the potential for high returns against the likelihood of failure.
- **Timing**: Decision making occurs at every stage, from initial idea selection to final implementation.

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2. Overview of Expected Costs

Expected costs refer to the total financial outlay anticipated to bring a project to life and keep it operational. Accuracy here is crucial to prevent budget overruns.

Categories of Expected Costs:

- **Initial/Capital Costs**: One-time expenses for starting the project, including land, machinery, and legal fees.
- **Operating Costs**: Recurring expenses needed for daily functioning, such as raw materials, electricity, and labor.
- **Administrative Costs**: Expenses related to management, such as office supplies, rent, and salaries for non-production staff.
- **Marketing & Distribution Costs**: Funds allocated to promote the product and transport it to customers.
- **Contingency Costs**: A "buffer" amount set aside to cover unexpected price hikes or emergencies.

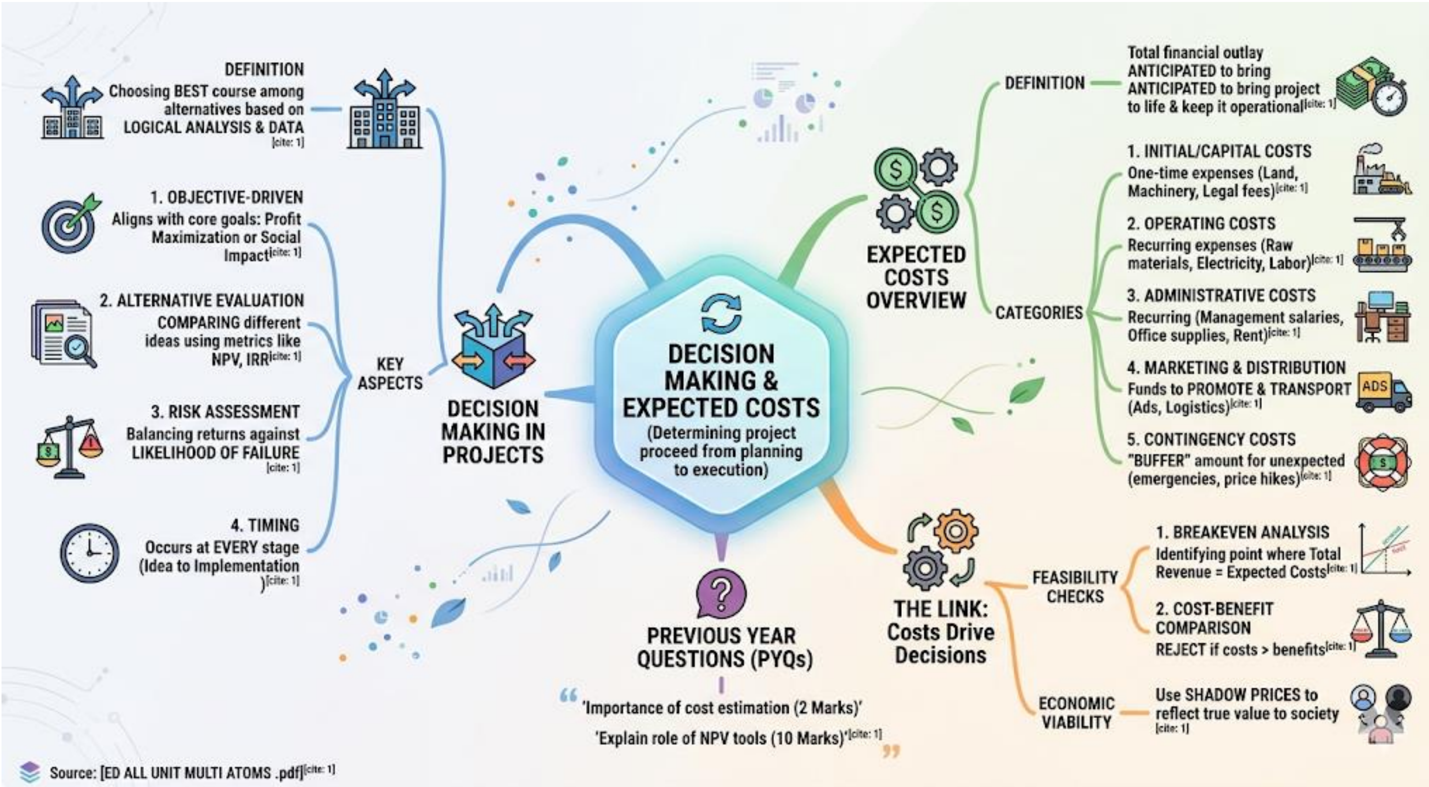
3. The Link: How Costs Drive Decisions

Entrepreneurs use expected costs to perform feasibility checks:

- **Breakeven Analysis**: Identifying the point where total revenue equals expected costs.
- **Cost-Benefit Comparison**: If the expected costs exceed the projected benefits, the decision is usually to reject the project.
- **Shadow Pricing**: In economic viability, "shadow prices" are used to adjust market costs to reflect their true value to society.

Previous Year Questions (PYQs)

- What is the importance of cost estimation in project identification?
- Explain the role of decision-making tools like NPV in choosing a project.



Planning, Production control, & Quality control

In industrial management, **Planning**, **Production Control**, and **Quality Control** form the backbone of an efficient manufacturing system. These three stages ensure that a project moves from an idea to a high-quality finished product.

1. Production Planning

Planning is the first stage where the "what, how, and when" of production are decided.

- **Routing**: Determining the exact path or sequence of operations a product will follow through the machines.
- **Loading**: Assigning specific tasks to individual machines or workers based on their capacity.
- **Scheduling**: Creating a detailed timetable that specifies when each task must start and finish to meet delivery deadlines.
- **Material Estimation**: Calculating the exact quantity of raw materials needed using tools like **Material Balance**.

2. Production Control

Control is the action phase that ensures the "plan" is actually being followed on the factory floor.

- **Dispatching**: The process of issuing official orders and instructions to start the work.
- **Expediting (Follow-up)**: Monitoring the progress of work to identify and remove any bottlenecks or delays.
- **Corrective Action**: Making real-time adjustments if the actual production deviates from the original schedule.

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3. Quality Control (QC)

Quality Control is the systematic process of ensuring that the final product meets the predefined standards and customer expectations.

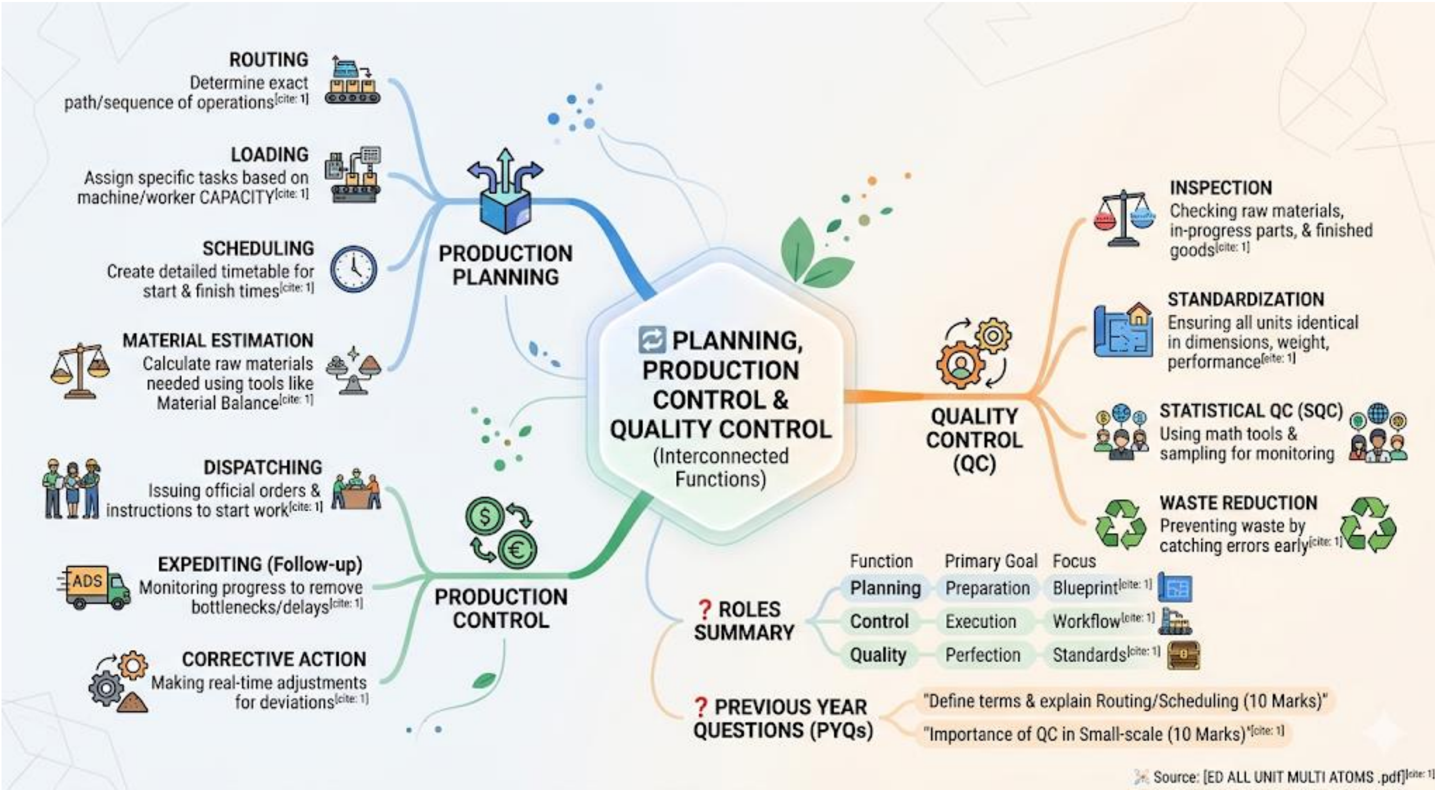
- **Inspection**: Checking raw materials, parts in progress, and finished goods to find defects.
- **Standardization**: Ensuring that every unit produced is identical in terms of dimensions, weight, and performance.
- **Statistical Quality Control (SQC)**: Using mathematical tools and sampling to monitor quality without needing to inspect every single item.
- **Waste Reduction**: By catching errors early, QC prevents the waste of materials and labor on defective products.

Summary of Roles

Function	Primary Goal	Focus
Planning	Preparation	Designing the "Blueprint"
Control	Execution	Managing the "Workflow"
Quality	Perfection	Maintaining the "Standards"

Previous Year Questions (PYQs)

- Define the terms production planning and production control.
- Discuss the importance of quality control in a small-scale industry.
- Explain routing and scheduling in the context of production planning.



Marketing, Sales & Purchase, Advertisement

In the context of industrial management and entrepreneurship, **Marketing**, **Sales & Purchase**, and **Advertisement** are the functions that connect the production floor to the end consumer.

1. Marketing

Marketing is the broad process of identifying, anticipating, and satisfying customer needs profitably. It is much wider than just selling; it starts before production and continues after the sale.

- **Market Research**: Gathering data about what customers want and what competitors are doing.
- **Product Development**: Designing products based on research to ensure they solve a specific problem.
- **Pricing Strategy**: Setting a price that reflects the product's value while remaining competitive.
- **Distribution**: Ensuring the product reaches the right place at the right time.

2. Advertisement

Advertisement is a specific tool within marketing used to communicate a message to a large audience. Its goal is to create awareness and persuade people to buy.

- **Brand Awareness**: Making sure people know the brand name and what it stands for.
- **Information Sharing**: Highlighting specific features, benefits, or limited-time offers.
- **Medium Selection**: Choosing where to show ads—social media, newspapers, television, or billboards—based on where the target audience spends time.

3. Sales & Purchase

These are the operational functions of moving goods and managing resources.

- **Sales**: The final stage of the marketing process where ownership of the product is transferred to the customer in exchange for money. It focuses on meeting short-term targets and closing deals.
- **Purchase**: The process of acquiring raw materials, machinery, and services needed for production.
  - **Vendor Selection**: Finding reliable suppliers who offer the best quality at the lowest cost.
  - **Inventory Management**: Ensuring there is enough material to keep production running without overspending on storage.

Key Differences

Function	Focus	Goal
Marketing	Customer Needs	Long-term brand building and satisfaction
Advertisement	Communication	Creating awareness and interest
Sales	The Transaction	Converting products into cash (Revenue)
Purchase	Resources	Acquiring inputs efficiently for production

Previous Year Questions (PYQs)

- Distinguish between Marketing and Selling.
- Explain the role of advertisement in a new business venture.
- Discuss the importance of the purchasing function in industrial management.

Wages & Incentives, Industrial Relations

In industrial management, managing the human element is as critical as managing machines. **Wages & Incentives** and **Industrial Relations** focus on how workers are compensated and how the relationship between management and labor is maintained.

1. Wages and Incentives

Wages are the basic compensation paid to workers, while incentives are additional rewards designed to motivate higher productivity.

- **Wages**: This is the fixed payment a worker receives for their time or output (e.g., daily or monthly salary).
- **Incentives**: These are variable rewards (financial or non-financial) given to employees who perform above a certain standard.
  - **Financial Incentives**: Bonus, profit-sharing, or commission based on production targets.
  - **Non-Financial Incentives**: Job security, recognition, promotion, and better working conditions.

- **Purpose**: The main goal is to increase efficiency, reduce labor turnover, and ensure workers feel valued for their extra effort.

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2. Industrial Relations (IR)

Industrial Relations refers to the collective relationship between the management (employers) and the workers (often represented by trade unions).

- **Objectives**:
    - To maintain peace and harmony within the organization.
    - To safeguard the interests of both employees and employers.
    - To avoid industrial disputes like strikes or lockouts.
- **Collective Bargaining**: This is a core part of IR where representatives of the workers and management sit together to negotiate wages, working hours, and benefits.
- **Grievance Handling**: Establishing a formal process where workers can report complaints so they are resolved fairly and quickly.

Key Differences

Feature	Wages & Incentives	Industrial Relations
Level	Individual/Performance-based.	Collective/Organizational-based.
Primary Tool	Money and Rewards.	Negotiation and Communication.
Focus	Motivating the worker.	Preventing conflict and ensuring peace.

Previous Year Questions (PYQs)

- Define the term "Incentive" and explain different types of financial incentives.
- Discuss the importance of maintaining good industrial relations in a factory.
- What is collective bargaining, and how does it help in industrial peace?

Preparation of financial reports

The preparation of financial reports is the final stage of the accounting cycle, where raw financial data is transformed into structured documents to communicate the health of a business to stakeholders. These reports are essential for transparency, legal compliance, and strategic planning.

1. Key Components of Financial Reports

A complete set of financial reports typically includes these primary statements:

- **Balance Sheet**: A snapshot of the company's financial position, listing Assets, Liabilities, and Owner's Equity at a specific point in time.
- **Profit and Loss Statement (Income Statement)**: Summarizes revenues, costs, and expenses incurred during a specific period to show net profit or loss.
- **Cash Flow Statement**: Tracks the actual movement of cash in and out of the business, categorized by operating, investing, and financing activities.
- **Statement of Changes in Equity**: Details the changes in the owners' interest in the company over the reporting period.

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2. The Preparation Process

Preparing these reports involves a systematic sequence of steps:

1. **Data Collection**: Gathering all transaction records, invoices, and receipts.
2. **Trial Balance**: Ensuring that total debits equal total credits across all accounts.
3. **Adjusting Entries**: Accounting for accruals, prepayments, and depreciation to ensure the reports reflect the correct period.
4. **Statement Construction**: Drafting the formal documents according to accounting standards.
5. **Review and Audit**: Verifying the accuracy of the data to ensure it provides a "true and fair" view of the business.

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3. Importance of Financial Reporting

- **For Management**: Helps in internal decision-making and performance evaluation.
- **For Investors/Banks**: Provides the necessary data to assess the risk and return of providing capital to the business.
- **For Tax Authorities**: Forms the legal basis for calculating the company’s tax liabilities.

Previous Year Questions (PYQs)

- Explain the steps involved in the preparation of a project’s financial report.
- Discuss the significance of the Profit and Loss statement for an entrepreneur.

Accounts & Stores studies

In industrial and project management, **Accounts and Stores studies** focus on managing the two most critical resources of a business: money and materials. Efficient coordination between these two departments ensures that production never stops due to a lack of funds or supplies.

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1. Accounts Studies

Accounts studies involve the systematic recording, classification, and summarization of financial transactions to determine the project's profitability and financial health.

- **Financial Recording**: Maintaining journals and ledgers to track every rupee spent or earned.
- **Cost Accounting**: Analyzing the cost of production to help set product prices and identify areas where expenses can be reduced.
- **Budgetary Control**: Comparing actual spending against the planned budget to prevent overspending.

- **Reporting**: Preparing final documents like the **Balance Sheet** and **Profit & Loss Statement** for stakeholders.

2. Stores Studies (Inventory Management)

Stores studies focus on the physical management of raw materials, tools, and finished goods. The goal is to minimize "carrying costs" while ensuring materials are always available when needed.

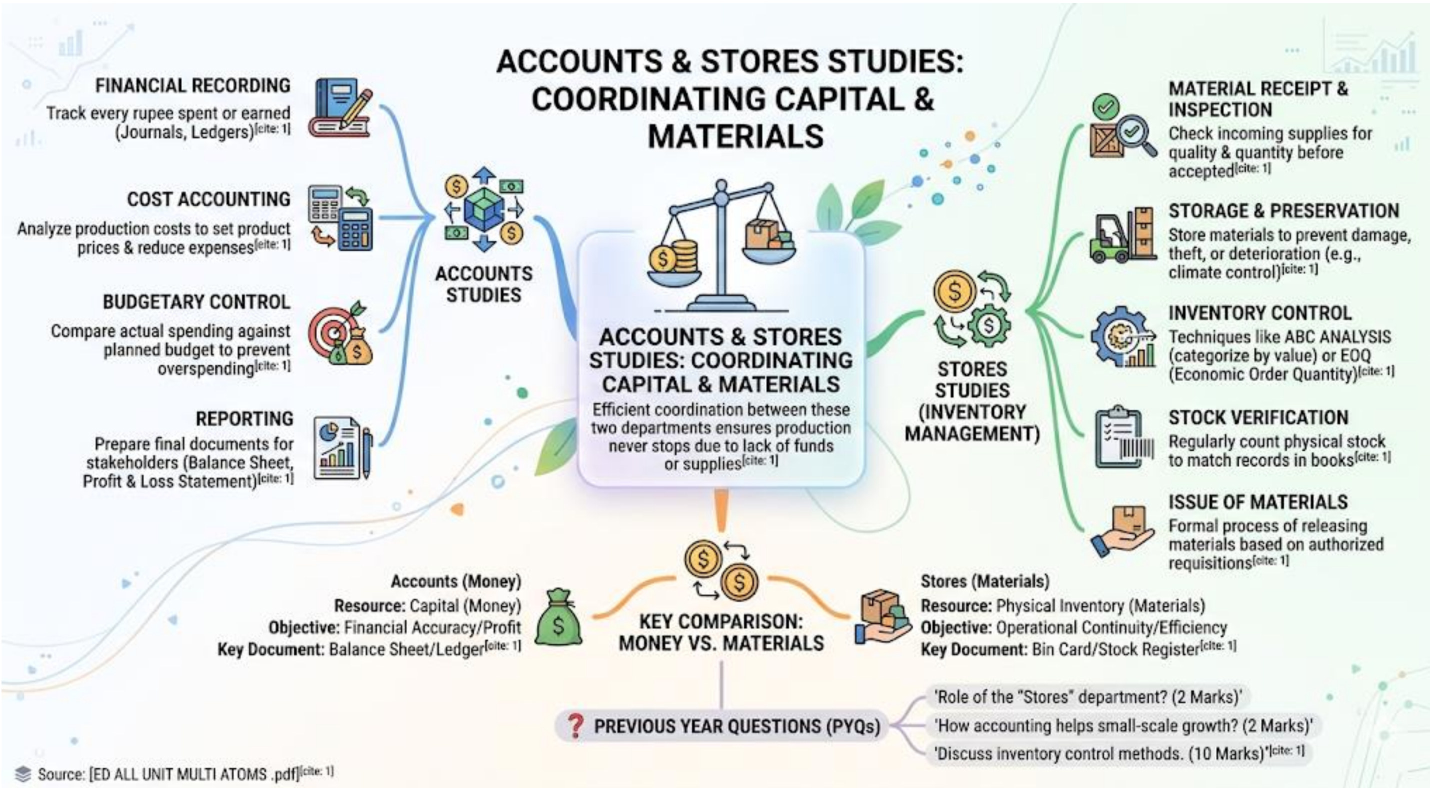
- **Material Receipt and Inspection**: Checking incoming supplies for quality and quantity before they are accepted into the warehouse.
- **Storage and Preservation**: Ensuring materials are stored in a way that prevents damage, theft, or deterioration (e.g., climate control for chemicals).
- **Inventory Control**: Using techniques like **ABC Analysis** (categorizing items by value) or **EOQ (Economic Order Quantity)** to decide how much to order.
- **Stock Verification**: Regularly counting physical stock to ensure it matches the records in the books.
- **Issue of Materials**: Managing the formal process of releasing materials to the production department based on authorized requisitions.

Key Comparison: Money vs. Materials

Feature	Accounts	Stores
Primary Resource	Capital (Money).	Physical Inventory (Materials).
Core Objective	Financial Accuracy and Profit.	Operational Continuity and Efficiency.
Key Document	Balance Sheet / Ledger.	Bin Card / Stock Register.

Previous Year Questions (PYQs)

- Define the role of the "Stores" department in a manufacturing unit.
- How does efficient accounting help in the growth of a small-scale industry?
- Discuss the various methods of inventory control used in stores management.



ACCOUNTS & STORES STUDIES: COORDINATING CAPITAL & MATERIALS
FINANCIAL RECORDING
Track every rupee spent or earned (Journals, Ledgers)[cite: 1]
COST ACCOUNTING
Analyze production costs to set product prices & reduce expenses[cite: 1]
BUDGETARY CONTROL
Compare actual spending against planned budget to prevent overspending[cite: 1]
REPORTING
Prepare final documents for stakeholders (Balance Sheet, Profit & Loss Statement)[cite: 1]
ACCOUNTS STUDIES
ACCOUNTS & STORES STUDIES: COORDINATING CAPITAL & MATERIALS
Efficient coordination between these two departments ensures production never stops due to lack of funds or supplies[cite: 1]
STORES STUDIES (INVENTORY MANAGEMENT)
MATERIAL RECEIPT & INSPECTION
Check incoming supplies for quality & quantity before accepted[cite: 1]
STORAGE & PRESERVATION
Store materials to prevent damage, theft, or deterioration (e.g., climate control)[cite: 1]
INVENTORY CONTROL
Techniques like ABC ANALYSIS (categorize by value) or EOQ (Economic Order Quantity)[cite: 1]
STOCK VERIFICATION
Regularly count physical stock to match records in books[cite: 1]
ISSUE OF MATERIALS
Formal process of releasing materials based on authorized requisitions[cite: 1]
Accounts (Money)
Resource: Capital (Money)
Objective: Financial Accuracy/Profit
Key Document: Balance Sheet/Ledger[cite: 1]
KEY COMPARISON: MONEY VS. MATERIALS
Stores (Materials)
Resource: Physical Inventory (Materials)
Objective: Operational Continuity/Efficiency
Key Document: Bin Card/Stock Register[cite: 1]
PREVIOUS YEAR QUESTIONS (PYQs)
'Role of the "Stores" department? (2 Marks)'
'How accounting helps small-scale growth? (2 Marks)'
'Discuss inventory control methods. (10 Marks)'[cite: 1]
Source: [ED ALL UNIT MULTI ATOMS .pdf][cite: 1]
